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Are cryptos different? Evidence from retail trading

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1 Big picture

- **Question.** Do the same retail investors trade cryptocurrencies differently from stocks and gold?
- **Core finding.** Yes. Retail traders are contrarian in stocks and gold, but the same traders follow a momentum-like strategy in cryptocurrencies.
- **Dataset.** The paper uses self-initiated trades and daily portfolio balances of roughly 200,000 eToro retail accounts from 2015 through 2019.
- **Within-investor design.** The main empirical contrast is within the same platform and often within the same investors.
- **Main crypto result.** A 1% same-day crypto return is associated with about a 0.67% increase in the total portfolio share of cryptocurrencies.
- **Main stock result.** For the top 200 stocks, a 1% same-day return is associated with a decrease in both total and active stock shares.
- **Gold comparison.** Gold is also traded contrarian.
- **Economic takeaway.** Cryptocurrencies appear to be traded with an adoption-based belief model: price increases may raise beliefs about future adoption.

2 Data and measurement

2.1 eToro sample and assets

The sample covers January 1, 2015 through December 15, 2019 and contains 199,927 investors who traded either stocks or cryptocurrencies. The paper focuses on self-initiated trades in stocks, cryptocurrencies, and gold.

Interpretation. The same platform lets the authors compare trading behavior across asset classes while holding platform design and investor access more fixed.

2.2 Representative investors

The authors aggregate trades, net inflows, and wealth across investors to form representative-investor portfolios for each day and asset class.

Interpretation. Aggregation reduces idiosyncratic noise and produces daily stock, crypto, and gold portfolio-share changes.

2.3 Total share and active share

Total share change captures the portfolio weight change including passive price effects. Active share change isolates trading:

$$\log w_{i,t} - \log w_{i,t-1} = \log X_{i,t} - \log X_{i,t-1} + r_{i,t} - r_t^W.$$
$$\text{Active share change} = \log X_{i,t} - \log X_{i,t-1}.$$

Interpretation. A positive total-share response and near-zero active-share response means investors do not rebalance down after a price increase.

3 Models and empirical specifications

3.1 Portfolio choice benchmark

$$w_t = \frac{1}{\gamma} \Sigma_t^{-1} (\mu_t - \mathbf{1} r_{f,t} + \sigma_t^2/2).$$

Interpretation. Portfolio weights change when beliefs about expected returns, risk, or rates change.

3.2 Belief dynamics

$$\mu_{i,t} = \mu_i + \sum_{s=0}^T \alpha_{i,s} r_{i,t-s} + \varepsilon_{i,t}.$$

Interpretation. Positive α means investors extrapolate returns; negative α means contrarian updating or rebalancing.

3.3 Main regression

$$\begin{aligned} \log(\text{ShareChange}_{t,i}) = & \alpha_i + \beta_1 \log(\text{Ret}_{t,i}) + \beta_2 \log(\text{CRet1Week}_{t,i}) \\ & + \beta_3 \log(\text{CRet1Month}_{t,i}) + \beta_4 \log(\text{CRet3Month}_{t,i}) \\ & + \beta_5 \log(\text{CRet6Month}_{t,i}) + \gamma X_{i,t} + \varepsilon_{i,t}. \end{aligned}$$

Interpretation. Positive same-day coefficients imply momentum-like portfolio-share responses. Negative coefficients imply contrarian trading or rebalancing.

4 Identification and empirical design

- **Within-platform comparison.** Stocks, crypto, and gold are traded on the same brokerage platform.
- **Within-investor comparison.** Many tests restrict to investors who traded both crypto and stocks.
- **Active share test.** Active share changes address inattention and passive price drift.
- **Composition checks.** Investor type, demographics, active users, existing users, and individual-account regressions all support the result.
- **Mechanism tests.** Lottery-like stocks, earnings-announcement days, transaction costs, leverage, and the 2018 crash do not explain the contrast.

5 Tables and figures: expanded interpretation

This section adds more interpretation to the visual material. Each block emphasizes how to read the result, why the robustness test matters, and how the table or figure connects to the paper’s core mechanism.

5.1 Figures 1–2 and Tables 1–2: sample, trading environment, and external validity

Read:

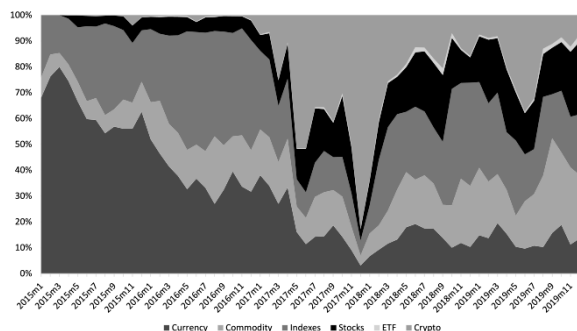
- Figure 1 is useful because it shows that crypto is not a small constant component of retail portfolios: crypto weights surge during the 2017 boom and fall after the crash. The time-series boom-bust pattern motivates later robustness tests around the 2018 crash.
- Figure 2 shows that eToro investors are geographically dispersed. This matters because the main result is not a narrow U.S.-only or single-country trading pattern.
- Table 1 establishes the scale of the account-level sample and confirms that the data include investors who trade crypto, stocks, and both asset classes.
- Table 2 compares eToro retail stock trading to NASDAQ retail-trading measures. The point is not that eToro is the whole retail market, but that its retail stock trading co-moves with an external retail benchmark.

Interpretation.

- The first visual block supports the paper’s “same investors, same platform” logic. If crypto traders were completely separate from stock traders, the paper could only compare two populations. Table 1 makes clear that the authors can also compare behavior within overlapping traders.
- Figure 1 also warns the reader that passive price changes can mechanically change portfolio shares. This is why the paper later separates total share changes from active share changes.
- Table 2 is an external-validity check. It helps the reader trust that eToro stock trading is not an idiosyncratic platform artifact before comparing stock behavior to crypto behavior on the same platform.

Economic message.

- Before the paper can interpret crypto trading as special, it must show that the platform is a meaningful retail setting and that the crypto boom is large enough to affect portfolio choice. This block provides that foundation.



(a) Figure 1: asset shares over time

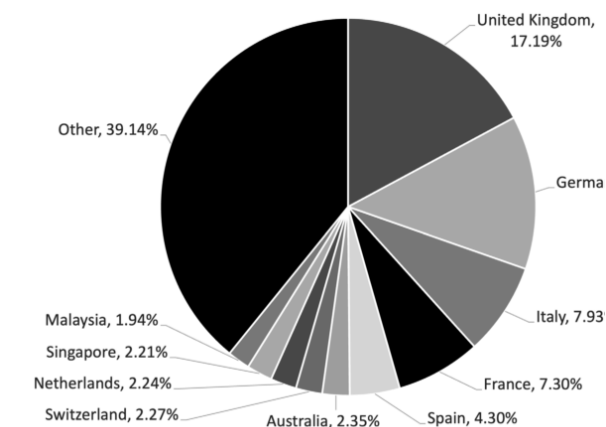


Figure 2 shows the fraction of investors by self-reported country of origin. We show the

(b) Figure 2: investor countries

Table 1
Summary Statistics.

Panel A									
	Mean	SD	Min	p25	p50	p75	p90	Max	Obs
Num trades per user	63.21	199.44	1	5	16	52	144	22,304	199,927
Num unique stocks	9.33	21.43	0	0	2	9	25	744	199,927
Num unique cryptos	1.84	1.08	0	1	2	3	3	3	199,927
Account age	489.60	444.19	0	65	366	935	1054	1948	199,927
Trade size stocks (\$)	311.30	775.90	1	80	134	285	602	52,234	141,519
Trade size crypto (\$)	494.48	1628.91	1	100	225	421	945	191,863	172,599
Account balance (\$)	986.99	2042.14	0	60	260	936	2680	44,837	199,927
Holding period stocks	23.82	55.72	0	2	7	21	57	1994	141,182
Holding period crypto	57.13	119.32	0	3	12	51	155	1162	167,690
Proc. invested in stocks	0.13	0.21	0	0	0.02	0.15	0.44	1	199,927
Proc. invested in crypto	0.44	0.37	0	0.05	0.40	0.82	0.96	1	199,927
Finance background	0.20	0.40	0	0	0	0	1	1	199,927
Low wealth	0.43	0.49	0	0	1	1	1	1	199,927
Young (<35 yrs age)	0.51	0.50	0	0	1	1	1	1	199,927
Ever Guru	0.01	0.10	0	0	0	0	0	1	199,927
Panel B									
	Mean	SD	Min	p25	p50	p75	p90	Max	Obs
Log(Ret Stocks)	0.00001	0.0270	-1.499	-0.0097	0.0006	0.0108	0.0239	0.873	172,444
Log(Ret Crypto)	0.00161	0.0526	-0.348	-0.0180	0.0010	0.0209	0.0522	0.583	3586
Log(Ret Gold)	-0.00005	0.0060	-0.021	-0.0022	0.0000	0.0020	0.0067	0.040	1266

This table displays the summary statistics for our main variables. In Panel A, we display trader characteristics. Num trades per user is the number of round-trip trades (opening and closing a position). Holding periods and account age are in days. We classify investors as novice if they convert to work in the finance industry as *True Wealth*.

(a) Table 1: account and trading summary

Table 2
NASDAQ versus eToro Equity Trading.

	Firm FE (1)	Date FE (2)	Firm and Date FE (3)	Firm FE (4)	Date FE (5)	Firm and Date FE (6)
Activity	0.077*** (0.01)	0.158*** (0.01)	0.077*** (0.01)			
Sentiment				0.008*** (0.00)	0.008*** (0.00)	0.007*** (0.00)
R-squared	0.65	0.35	0.65	0.07	0.03	0.10
Observations	1,125,736	1,125,736	1,125,736	697,016	697,016	697,016

This table presents panel regressions of Activity (unsigned retail order flow) and Sentiment (net signed order flow) as reported by NASDAQ 'Retail Trading Activity Tracker' on the same measure computed for eToro. These measures are calculated for each stock/date in our sample. In columns 1-3, the variable of interest is Activity and in columns 4-6 the variable of interest is Sentiment. Activity is defined as the dollar volume of retail investors in a given ticker divided by total dollar volume of retail investors across all tickers. Sentiment is defined as the retail net flows (buys minus sells) of the most recent 10 trading days. Each of the columns uses a different set of controls: Firm fixed effects, Date fixed effects, and Firm and Date fixed effects. In all cases standard errors are clustered by firm and date. Statistical significance is denoted at the ten, five, and one percent levels by *, **, and ***, respectively.

(b) Table 2: eToro vs. NASDAQ retail benchmark

5.2 Table 3: the main crypto-stock-gold contrast

Read:

- This is the central table. A same-day crypto return is associated with a positive total-share response, while stock and gold returns are associated with negative portfolio-share responses.
- The active-share columns are crucial. For stocks, the negative active-share response means investors actively sell or rebalance after price increases. For crypto, active share is close to zero rather than strongly negative, so crypto weights are allowed to rise after returns.
- The contrast is not simply “retail investors chase everything.” The same setting produces contrarian behavior in stocks and gold but momentum-like behavior in crypto.

Interpretation.

- Total share captures both passive price appreciation and trading. Active share removes passive price effects. Therefore, Table 3 separates “my crypto weight rose because Bitcoin rose” from “I actively bought more crypto.”
- The crypto result is economically a failure to rebalance down after price increases. In stocks, retail traders behave closer to standard rebalancers or contrarians: after winners rise, they sell down the position.
- Gold is an important benchmark. Like crypto, gold is not an operating firm with earnings announcements, yet investors trade gold contrarian. That weakens the argument that the difference is simply “stocks have cash flows while crypto does not.”

Economic message.

- The table motivates the paper’s adoption-belief interpretation: crypto price increases may make investors more optimistic about future adoption, so they tolerate or increase exposure instead of rebalancing away.

Table 3
Total and Active Share Change: Cryptos vs. Stocks vs. Gold.

Panel A: Crypto

	Log(total share change)			Log(active share change)		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	0.674*** (0.026)	0.722*** (0.039)	0.616*** (0.031)	-0.016 (0.030)	0.001 (0.043)	-0.041 (0.046)
Log(CR past 1 week)	0.018** (0.009)	0.037** (0.015)	-0.002 (0.009)	0.020** (0.008)	0.032** (0.013)	0.006 (0.008)
Log(CR past 1 month)	0.002 (0.003)	0.007 (0.004)	-0.003 (0.003)	0.001 (0.002)	0.002 (0.003)	-0.000 (0.003)
Log(CR past 3 months)	-0.007** (0.003)	-0.005 (0.003)	-0.010** (0.004)	-0.008*** (0.003)	-0.005 (0.003)	-0.011** (0.004)
Log(CR past 6 months)	0.006*** (0.002)	0.002 (0.002)	0.008** (0.003)	0.004** (0.002)	0.000 (0.002)	0.008** (0.003)
Log(Ret Wealth)				0.042 (0.043)	-0.024 (0.059)	0.133** (0.062)
Log(Ret Net Inflows)				0.437*** (0.102)	0.454*** (0.148)	0.432*** (0.154)
R2	0.328	0.378	0.274	0.031	0.033	0.042
Observations	3586	1,866	1,720	3,586	1,866	1,720

Panel B: Stocks

	Log(total share change)			Log(active share change)		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	-0.282*** (0.083)	-0.263*** (0.110)	-0.298*** (0.124)	-1.207*** (0.082)	-1.259*** (0.119)	-1.346*** (0.136)
Log(CR past 1 week)	-0.058** (0.026)	-0.094** (0.039)	-0.022 (0.032)	-0.059** (0.025)	-0.100*** (0.037)	-0.019 (0.032)
Log(CR past 1 month)	-0.021 (0.013)	-0.036* (0.019)	-0.008 (0.017)	-0.041** (0.013)	-0.067 (0.019)	-0.007 (0.017)
Log(CR past 3 months)	0.010 (0.013)	0.024 (0.022)	-0.003 (0.013)	0.010 (0.013)	0.024 (0.022)	-0.005 (0.013)
Log(CR past 6 months)	0.005 (0.006)	0.003 (0.009)	0.008 (0.007)	0.007 (0.006)	0.004 (0.009)	0.011 (0.007)
Log(Ret Wealth)				0.163*** (0.054)	0.086* (0.046)	0.218** (0.088)
Log(Ret Net Inflows)				0.251*** (0.062)	0.549*** (0.106)	-0.126 (0.130)
R2	0.001	0.001	0.001	0.008	0.007	0.011
Observations	170,878	87,894	82,984	170,878	87,894	82,984

Panel C: Gold

	Log(total share change)			Log(active share change)		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	-37.275*** (4.549)	-36.136*** (5.203)	-36.093*** (6.994)	-38.114*** (4.585)	-36.882*** (5.649)	-39.299*** (8.802)
Log(CR past 1 week)	1.751* (0.920)	1.661 (1.257)	1.698 (1.293)	1.752* (0.918)	1.697 (1.259)	1.588 (1.318)
Log(CR past 1 month)	0.619 (0.742)	0.137 (1.168)	0.755 (0.953)	0.599 (0.748)	0.968 (1.159)	0.764 (0.954)
Log(CR past 3 months)	-0.002 (0.317)	-0.836* (0.443)	0.876** (0.434)	-0.004 (0.321)	-0.852* (0.448)	0.881** (0.437)
Log(CR past 6 months)	0.006 (0.215)	-0.233 (0.319)	0.218 (0.296)	0.010 (0.217)	-0.212 (0.329)	0.205 (0.296)
Log(Ret Wealth)				0.252 (0.486)	-0.372 (0.644)	0.850 (0.732)
Log(Ret Net Inflows)				-0.031 (0.839)	-0.190 (1.109)	-0.569 (1.503)
R2	0.174	0.170	0.211	0.180	0.176	0.220
Observations	1,356	680	676	1,356	680	676

In this table we examine how contemporaneous and lagged returns affect individuals' trading behavior. We generate a representative investor by cumulating trades, net inflows, and wealth, across all investors who participated on the platform at date t . $Log(\text{Total Share Change}_t)$ is defined as $\log(\text{Active Share Change}_t) + \log(\text{Price}_t/\text{Price}_{t-1}) - \text{Log}(\text{Wealth}_t/\text{Wealth}_{t-1})$. $Log(\text{Active Share Change}_t)$ defined as $\log(\text{Shares owned}_t) - \log(\text{Shares owned}_{t-1})$. $Log(\text{Ret}_t)$ is defined as $\log$ of return on day t plus 1, and $\log$ cumulative

Table 3: total and active share responses for crypto, stocks, and gold

5.3 Tables 4–5: nonlinear returns and investor composition

Read:

- Table 4 asks whether the main result is driven only by extreme positive or negative returns. The return-quintile structure lets the reader see whether trading responses differ for small moves versus large moves.
- Table 5 separates investors by whether they trade both asset classes or only one. This directly addresses the concern that crypto traders are simply a different type of person from stock traders.
- The broad pattern remains: crypto is treated more momentum-like and stocks more contrarian, even after splitting by return bins and investor type.

Interpretation.

- Table 4 is a shape test. If only the top crypto-return quintile generated the effect, one might call it a bubble-day or extreme-return phenomenon. Persistence across bins points to a more general trading rule.
- Table 5 is a composition test. If both-asset traders still trade crypto differently from stocks, then the result cannot be explained by comparing “crypto people” to “stock people.”
- Together, these tables strengthen the within-investor interpretation: asset class changes the trading rule.

Economic message.

- The crypto-stock dichotomy is not just about extreme return days or investor sorting. It is embedded in how retail traders map returns into portfolio adjustments.

Table 4
Return Quintile Analysis.

Panel A					
	Log(total share change)				
	Bottom Quintile	2	3	4	Top Quintile
Cryptos					
Log(Ret)	0.685*** (0.065)	0.260 (0.313)	−0.906 (1.004)	1.001*** (0.311)	0.747*** (0.064)
Controls	Yes	Yes	Yes	Yes	Yes
R2	0.239	0.035	0.004	0.029	0.296
Observations	718	717	717	717	717
Top 200 stocks					
Log(Ret)	−1.048*** (0.275)	1.052* (0.550)	2.328** (0.906)	−0.574 (0.716)	−1.056*** (0.248)
Controls	Yes	Yes	Yes	Yes	Yes
R2	0.005	0.000	0.000	0.001	0.003
Observations	33,693	34,095	34,136	34,092	33,775
Gold					
Log(Ret)	−28.206*** (7.057)	−21.748 (19.293)	−37.985 (31.756)	−27.074 (21.042)	−25.261** (10.299)
Controls	Yes	Yes	Yes	Yes	Yes
R2	0.058	0.067	0.034	0.006	0.105
Observations	274	274	274	274	274
Panel B					
	Log(active share change)				
	Bottom Quintile	2	3	4	Top Quintile
Cryptos					
Log(Ret)	−0.022 (0.055)	−0.104 (0.221)	−1.596 (1.422)	0.244 (0.292)	−0.034 (0.073)
Controls	Yes	Yes	Yes	Yes	Yes
R2	0.034	0.070	0.009	0.025	0.071
Observations	718	717	717	717	717
Top 200 stocks					
Log(Ret)	−2.028*** (0.273)	0.409 (0.548)	1.417 (0.903)	−1.442** (0.714)	−2.058*** (0.248)
Controls	Yes	Yes	Yes	Yes	Yes
R2	0.020	0.001	0.000	0.001	0.012
Observations	33,693	34,095	34,136	34,092	33,775
Gold					
Log(Ret)	−28.456** (8.153)	−22.988 (19.487)	−36.621 (21.409)	−27.967 (21.999)	−25.656** (10.659)
Controls	Yes	Yes	Yes	Yes	Yes
R2	0.076	0.070	0.048	0.007	0.110
Observations	274	274	274	274	274

In this table we examine whether investors respond to returns differently for different return quintiles. We only look at investors who have traded both cryptos and stocks during their tenure on eToro. We generate a representative investor by cumulating

(a) Table 4: responses by return quintile

Table 5
By Investor Type.

Panel A: Traded in both cryptos and stocks						
	Log(total share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	0.672*** (0.026)	0.752*** (0.047)	0.655*** (0.044)	−0.243*** (0.088)	−0.972*** (0.147)	−0.614*** (0.169)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.292	0.269	0.173	0.000	0.001	0.000
Observations	3,586	1,866	1,720	501,250	261,263	239,987
	Log(active share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	−0.022 (0.030)	−0.002 (0.048)	0.007 (0.050)	−1.148*** (0.088)	−1.941*** (0.146)	−1.512*** (0.169)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.021	0.026	0.026	0.002	0.003	0.003
Observations	3,586	1,866	1,720	501,250	261,263	239,987
Panel B: Traded only cryptos or stocks						
	Log(total share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	0.586*** (0.033)	0.668*** (0.059)	0.532*** (0.051)	0.348*** (0.127)	−0.352* (0.185)	1.040*** (0.285)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.181	0.154	0.112	0.000	0.001	0.001
Observations	3,583	1,866	1,717	337,347	175,448	161,899
	Log(active share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	0.015 (0.048)	0.051 (0.075)	−0.070 (0.063)	−0.463*** (0.134)	−1.309*** (0.189)	0.077 (0.290)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.023	0.031	0.033	0.000	0.002	0.000
Observations	3,583	1,866	1,717	337,347	175,448	161,899

In this table we examine whether investors who traded in both cryptos and stocks trade differently from investors who only trade in cryptos or only in stocks. We generate a representative investor by cumulating trades, net inflows, and wealth, across each investor group for each day t . An investor is defined as trading in cryptos (stocks) if she traded cryptos (stocks) at any time during her eToro tenure. $Log(\text{Total Share Change})$ and $Log(\text{Active Share Change})$ are defined as in Table 3. Controls include lagged 1 week, 1 moth, 3 month, and 6 month log cumulative returns for total and active share change regressions, as well as log returns on wealth and net inflows, for active share change. The log cumulative past returns are defined over a time period ending on day $t - 1$. Cryptos are BTC, XRP, and ETH. Standard errors are clustered at the date level and reported in parentheses. Statistical significance is denoted at the ten, five, and one

(b) Table 5: both-asset and single-asset traders

5.4 Table 6: investor characteristics and heterogeneity

Read:

- Table 6 repeats the main logic across demographics and investor characteristics such as gender, financial background, wealth, age, and guru status.
- Crypto total-share responses remain positive in many subgroups, while stock active-share responses remain negative.
- The table is not mainly about which subgroup is largest. It is a robustness test asking whether the crypto-stock contrast disappears once the sample is split into more comparable groups.

Interpretation.

- If the result were only driven by young, male, wealthy, or finance-background investors, the mechanism would look like a demographic story. The persistence of the pattern across groups instead supports an asset-class story.
- Guru status is especially informative because it checks whether more followed or experienced platform participants behave differently. The crypto pattern is not confined to the least sophisticated users.
- The table also makes the paper’s claim more conservative: even when subgroup estimates are noisier, the direction of the crypto-stock contrast is stable.

Economic message.

- Demographics help describe who trades, but they do not explain why the same retail environment produces contrarian stock trading and momentum-like crypto exposure.

Table 6
Investor Characteristics.
Panel A

	Log(total share change)					
	Crypto			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Female						
Log(Ret)	0.682*** (0.026)	0.752*** (0.048)	0.650*** (0.045)	-0.341*** (0.089)	-0.815*** (0.167)	-0.498*** (0.178)
Investor Type	-0.000 (0.002)	0.004 (0.004)	-0.005 (0.004)	-0.005 (0.007)	-0.011* (0.007)	0.000 (0.007)
Investor Type × Log(Ret)	0.038 (0.024)	-0.008 (0.047)	-0.013 (0.050)	-0.588*** (0.234)	-0.421 (0.417)	-0.463 (0.445)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.148	0.118	0.084	0.001	0.001	0.001
Observations	7,167	3,732	3,435	303,049	155,969	147,080
Finance Background						
Log(Ret)	0.661*** (0.029)	0.737*** (0.051)	0.651*** (0.062)	-0.460*** (0.095)	-1.002*** (0.180)	-0.591*** (0.187)
Investor Type	-0.009 (0.001)	-0.009 (0.002)	-0.002 (0.002)	-0.002 (0.002)	-0.003 (0.005)	-0.003 (0.004)
Investor Type × Log(Ret)	0.043* (0.022)	0.063* (0.033)	0.051 (0.033)	0.400*** (0.152)	0.303 (0.309)	0.661*** (0.309)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.229	0.217	0.130	0.000	0.001	0.000
Observations	7,172	3,732	3,440	327,132	168,334	158,798
Low Wealth						
Log(Ret)	0.682*** (0.026)	0.770*** (0.049)	0.663*** (0.045)	-0.229** (0.091)	-0.597*** (0.154)	-0.311* (0.181)
Investor Type	-0.001 (0.002)	-0.001 (0.002)	-0.001 (0.003)	-0.001 (0.002)	-0.002 (0.004)	-0.002 (0.004)
Investor Type × Log(Ret)	-0.046*** (0.023)	-0.086*** (0.038)	-0.021 (0.054)	-0.152 (0.104)	-0.261 (0.218)	-0.131 (0.172)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.174	0.180	0.089	0.000	0.001	0.000
Observations	7,172	3,732	3,440	328,355	168,889	159,466
Young						
Log(Ret)	0.682*** (0.027)	0.760*** (0.051)	0.672*** (0.047)	-0.257** (0.104)	-0.678*** (0.242)	-0.369* (0.176)
Investor Type	-0.000 (0.001)	-0.000 (0.002)	-0.001 (0.002)	0.002 (0.004)	0.002 (0.003)	0.005 (0.003)
Investor Type × Log(Ret)	-0.019 (0.019)	-0.024 (0.034)	-0.020 (0.034)	-0.049 (0.098)	-0.249 (0.260)	-0.092 (0.141)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.218	0.209	0.119	0.000	0.001	0.000
Observations	7,172	3,732	3,440	330,496	169,981	160,515
Ever Guru						
Log(Ret)	0.682*** (0.026)	0.747*** (0.049)	0.647*** (0.052)	-0.279*** (0.093)	-0.752*** (0.174)	-0.248*** (0.184)
Investor Type	0.000 (0.002)	-0.001 (0.004)	0.005 (0.004)	-0.002 (0.002)	0.001 (0.004)	-0.002 (0.004)
Investor Type × Log(Ret)	0.119*** (0.030)	0.093* (0.054)	0.219*** (0.060)	0.235* (0.130)	0.095 (0.271)	0.299 (0.236)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.150	0.125	0.097	0.001	0.001	0.001
Observations	7,160	3,726	3,434	322,315	165,920	156,395

	Log(active share change)					
	Crypto			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Female						
Log(Ret)	-0.027 (0.031)	-0.003 (0.050)	0.005 (0.053)	-1.258*** (0.088)	-1.779*** (0.167)	-1.430*** (0.176)
Investor Type	0.001 (0.002)	0.005 (0.003)	-0.003 (0.004)	-0.002 (0.004)	-0.008 (0.008)	0.002 (0.008)

(continued on next page)

Table 6 (continued).

Investor Type × Log(Ret)	-0.041 (0.045)	-0.026 (0.067)	-0.192* (0.100)	-0.612*** (0.237)	-0.456 (0.419)	-0.458 (0.448)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.012	0.012	0.021	0.003	0.002	0.003
Observations	7,167	3,732	3,435	303,049	155,969	147,080
Finance Background						
Log(Ret)	-0.046 (0.039)	-0.023 (0.056)	-0.010 (0.082)	-1.376*** (0.095)	-1.964*** (0.180)	-1.526*** (0.185)
Investor Type	0.001** (0.002)	0.002 (0.002)	0.004 (0.003)	-0.001 (0.003)	-0.003 (0.005)	0.008 (0.005)
Investor Type × Log(Ret)	0.041 (0.036)	0.052 (0.046)	0.032 (0.083)	0.392*** (0.133)	0.389 (0.309)	0.657*** (0.271)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.012	0.015	0.018	0.003	0.003	0.003
Observations	7,172	3,732	3,440	327,132	168,334	158,798
Low Wealth						
Log(Ret)	-0.018 (0.030)	0.012 (0.050)	0.008 (0.055)	-1.149*** (0.090)	-1.561*** (0.154)	-1.246*** (0.178)
Investor Type	-0.001 (0.002)	-0.001 (0.002)	0.001 (0.003)	-0.003 (0.003)	-0.003 (0.004)	-0.006 (0.004)
Investor Type × Log(Ret)	-0.074* (0.040)	-0.095* (0.052)	-0.048 (0.079)	-0.144 (0.106)	-0.263 (0.219)	-0.115 (0.173)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.014	0.020	0.013	0.003	0.003	0.003
Observations	7,172	3,732	3,440	328,355	168,889	159,466
Young						
Log(Ret)	-0.025 (0.033)	-0.001 (0.054)	-0.004 (0.055)	-1.181*** (0.104)	-1.845*** (0.243)	-1.306*** (0.173)
Investor Type	0.000 (0.001)	0.000 (0.002)	-0.002 (0.003)	-0.000 (0.002)	0.005 (0.005)	0.000 (0.003)
Investor Type × Log(Ret)	-0.012 (0.031)	0.005 (0.046)	0.004 (0.055)	-0.023 (0.098)	-0.344 (0.281)	0.107 (0.142)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.014	0.016	0.020	0.004	0.005	0.004
Observations	7,172	3,732	3,440	330,496	169,981	160,515
Ever Guru						
Log(Ret)	-0.029 (0.031)	-0.010 (0.059)	0.003 (0.055)	-1.296*** (0.092)	-1.727*** (0.174)	-1.470*** (0.181)
Investor Type	0.004* (0.003)	0.002 (0.004)	0.008* (0.004)	-0.007*** (0.002)	-0.005 (0.004)	-0.005 (0.004)
Investor Type × Log(Ret)	-0.081* (0.049)	-0.057 (0.058)	-0.030 (0.121)	0.198 (0.132)	0.112 (0.273)	0.252 (0.238)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.006	0.007	0.008	0.005	0.005	0.005
Observations	7,160	3,726	3,434	322,315	165,920	156,395

5.5 Tables 7–9: attention, entry, and aggregation checks

Read:

- Table 7 splits users by activity. If crypto weights rise only because inattentive investors fail to rebalance, active users should look very different. The contrast remains.
- Table 8 focuses on existing users. This addresses the concern that new entrants arrive after crypto booms and mechanically raise aggregate crypto weights.
- Table 9 runs individual-account regressions. This checks whether aggregate representative-investor results mask heterogeneous individual behavior.

Interpretation.

- Table 7 is an inattention test: active users are more likely to be watching their portfolios. Finding the same broad pattern among active users means the crypto result is not just neglect.
- Table 8 is an extensive-margin entry test: the authors want to distinguish existing investors changing their allocations from new crypto enthusiasts entering the platform after price increases.
- Table 9 is a micro-foundation test for the representative-investor result. It makes sure the aggregate pattern is not a Simpson’s-paradox outcome driven by changing composition across investors.

Economic message.

- The crypto-stock contrast survives the three most natural data-construction objections: inattention, entry, and aggregation.

Table 7
Active vs. Non-active Investors.

Panel A: Active investors						
	Log(total share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	0.690*** (0.052)	0.758*** (0.069)	0.582*** (0.093)	-0.750*** (0.106)	-1.231*** (0.182)	-0.779*** (0.203)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.070	0.067	0.030	0.002	0.002	0.001
Observations	3,586	1,866	1,720	167,305	86,002	81,303
	Log(active share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	-0.012 (0.032)	0.002 (0.062)	-0.012 (0.064)	-1.572*** (0.100)	-2.117*** (0.179)	-1.703*** (0.194)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.016	0.024	0.016	0.008	0.007	0.007
Observations	3,586	1,866	1,720	167,305	86,002	81,303
Panel B: Non-active investors						
	Log(total share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	0.940*** (0.150)	1.188*** (0.308)	0.783*** (0.190)	0.959*** (0.218)	0.415 (0.435)	0.643* (0.363)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.033	0.062	0.026	0.000	0.000	0.000
Observations	3,519	1,834	1,685	86,551	44,545	42,006
	Log(active share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	-0.034 (0.157)	0.124 (0.333)	-0.184 (0.195)	-0.037 (0.219)	-0.587 (0.434)	-0.351 (0.363)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.125	0.208	0.104	0.003	0.004	0.003
Observations	3,519	1,834	1,685	86,551	44,545	42,006

In this table we examine whether active investors trade differently than non-active investors. An investor is defined as active if she traded any asset in the prior 7 days, and as inactive if she has not traded any asset in the prior 30 days. We only look at investors who have been on eToro for at least 30 days, and have traded both cryptos and stocks during their tenure there. We generate a representative investor, by cumulating trades, net inflows, and wealth, across these active and inactive investors for

(a) Table 7: active and non-active investors

Table 8
Existing Users.

Panel A						
	Log(total share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	0.661*** (0.025)	0.744*** (0.050)	0.659*** (0.045)	-0.407*** (0.086)	-0.955*** (0.155)	-0.496*** (0.172)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.247	0.266	0.128	0.001	0.003	0.001
Observations	3,586	1,866	1,720	168,165	86,481	81,684
	Log(active share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	-0.066* (0.034)	-0.021 (0.056)	-0.060 (0.047)	-1.334*** (0.086)	-1.918*** (0.155)	-1.439*** (0.169)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.013	0.010	0.022	0.010	0.010	0.009
Observations	3,586	1,866	1,720	168,165	86,481	81,684

In this table we examine how users trade who have been active on eToro for at least 90 days prior to day t . We only look at investors who have traded both cryptos and stocks during their tenure on eToro. We generate a representative investor, by cumulating trades, net inflows, and wealth, across these investors for each day t . $Log(\text{Total Share Change}_t)$ and $Log(\text{Active Share Change}_t)$ are defined as in Table 3. Controls include lagged 1 week, 1 moth, 3 month, and 6 month log cumulative returns for total and active share change regressions, as well as log returns on wealth and net inflows, for active share change. The log cumulative past returns are defined over a time period ending on day $t - 1$. *Cryptos* are BTC, XRP, and ETH. Standard errors

(b) Table 8: existing users

Table 9
Individual Investors.

Panel A						
	Log(total share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	0.638*** (0.060)	0.414*** (0.135)	0.805*** (0.090)	-0.364*** (0.140)	-2.013*** (0.202)	0.261 (0.227)
Log(CR past 1 week)	0.010 (0.017)	0.060** (0.027)	-0.024 (0.027)	-0.184*** (0.019)	-0.346*** (0.033)	-0.038* (0.022)
Log(CR past 1 month)	0.017** (0.007)	0.013 (0.008)	0.019* (0.011)	-0.009 (0.009)	-0.049*** (0.012)	0.020* (0.012)
Log(CR past 3 months)	-0.001 (0.003)	-0.004 (0.004)	0.001 (0.003)	0.013** (0.005)	-0.002 (0.008)	0.031*** (0.008)
Log(CR past 6 months)	0.001 (0.002)	0.002 (0.003)	-0.002 (0.002)	0.009** (0.004)	0.001 (0.005)	0.012** (0.005)
R2	0.002	0.005	0.006	0.002	0.007	0.006
Observations	35,947,357	17,939,954	18,006,622	26,564,195	13,852,121	12,710,485
Panel B						
	Log(active share change)					
	Cryptos			Top 200 stocks		
	All (1)	Ret > 0 (2)	Ret ≤ 0 (3)	All (4)	Ret > 0 (5)	Ret ≤ 0 (6)
Log(Ret)	-0.219*** (0.057)	-0.397*** (0.137)	-0.080 (0.091)	-1.299*** (0.133)	-2.762*** (0.196)	-0.318 (0.215)
Log(CR past 1 week)	0.016 (0.016)	0.062** (0.027)	-0.023 (0.027)	-0.184*** (0.018)	-0.348*** (0.031)	-0.035 (0.022)
Log(CR past 1 month)	0.017** (0.006)	0.017 (0.008)	0.017 (0.010)	-0.011 (0.009)	-0.052*** (0.011)	0.019* (0.012)
Log(CR past 3 months)	-0.001 (0.002)	-0.004 (0.004)	0.001 (0.003)	0.013** (0.005)	-0.002 (0.008)	0.030*** (0.008)
Log(CR past 6 months)	0.001 (0.002)	0.002 (0.003)	-0.003 (0.002)	0.009** (0.004)	0.002 (0.005)	0.012** (0.005)
Log(Ret Wealth)	0.571*** (0.023)	0.602*** (0.024)	0.531*** (0.041)	0.342*** (0.015)	0.345*** (0.019)	0.340*** (0.018)
Log(Ret Net Inflows)	0.602*** (0.022)	0.629*** (0.022)	0.565*** (0.039)	0.363*** (0.014)	0.353*** (0.017)	0.369*** (0.018)
R2	0.003	0.007	0.007	0.002	0.008	0.007
Observations	35,947,357	17,939,954	18,006,622	26,564,195	13,852,121	12,710,485

In this table we examine how contemporaneous and lagged returns affect individuals' trading behavior using account-level data. We only look at investors who have traded both cryptos and stocks during their tenure on eToro. We keep the top 50% of traders by the number of days they traded in stocks and cryptos on eToro. $Log(\text{Total Share Change})$ and $Log(\text{Active Share Change})$ are defined as in Table 3. Controls include lagged 1 week, 1 month, 3 month, and 6 month log cumulative returns for total and active share change regressions, as well as log returns on wealth and net inflows, for active share change. The log cumulative past returns are defined over a time period ending on day $t - 1$. $Cryptos$ are BTC, XRP, and ETH. In Panel B $Log(\text{Wealth Ret})$ is defined as $\log[Wealth_t - NetInflows_t/Wealth_{t-1}]$, and $log(Ret \text{ Net Inflows})$ is defined as $\log[Wealth_t/Wealth_{t-1}] - \log(Wealth_t - NetInflows_t)/Wealth_{t-1}$. All columns include individual, asset, and date fixed effects. Standard errors are clustered at the date and individual investor level and reported in parentheses. Statistical significance is denoted at the ten, five, and one percent levels by *, **, and ***, respectively.

Table 9: individual-investor regressions

5.6 Tables 10–12: crash experience, lottery-like assets, and stock news

Read:

- Table 10 compares behavior before and after the 2018 crypto crash. It asks whether a major drawdown teaches investors to stop extrapolating in crypto.
- Table 11 compares crypto to lottery-like stocks. This addresses the concern that crypto is simply another high-skewness retail gambling asset.
- Table 12 focuses on earnings-announcement windows. This asks whether stock contrarian trading is driven by standard corporate cash-flow news, not by the asset-class distinction.

Interpretation.

- The crash test is a learning test. If investors permanently learned from the crash, the crypto return-response should move toward stock-like contrarian behavior. The robustness of the result implies the crypto belief process is persistent.
- The lottery-like stock test is important because crypto has high volatility and lottery appeal. If lottery stocks were traded like crypto, then the mechanism would be “lottery demand,” not crypto-specific adoption beliefs. The table weakens that alternative.
- The earnings test asks whether stocks are different only because returns around announcements reveal cash-flow information. The stock-crypto contrast remains even when stock news is explicitly considered.

Economic message.

- These robustness tables narrow the interpretation: crypto trading is not fully explained by crash experience, lottery preferences, or the existence of firm cash-flow news in stocks.

Table 10
Before versus After Crash — Active investors.

Panel A						
Log(total share change)						
Crypto			Top 200 stocks			
All	Ret > 0	Ret ≤ 0	All	Ret > 0	Ret ≤ 0	
(1)	(2)	(3)	(4)	(5)	(6)	
Log(Ret)	0.756*** (0.052)	0.869*** (0.085)	0.691*** (0.118)	-0.633*** (0.162)	-1.399*** (0.351)	-0.409 (0.253)
After Crash	-0.003 (0.006)	-0.005 (0.008)	-0.007 (0.009)	-0.004 (0.004)	-0.009 (0.007)	-0.016* (0.007)
After Crash × Log(Ret)	-0.109 (0.077)	-0.093 (0.094)	-0.165 (0.130)	-0.063 (0.210)	0.502 (0.400)	-0.547* (0.383)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.161	0.145	0.084	0.001	0.002	0.002
Observations	3,586	1,866	1,720	168,087	86,415	81,672

Panel B						
Log(active share change)						
Crypto			Top 200 stocks			
All	Ret > 0	Ret ≤ 0	All	Ret > 0	Ret ≤ 0	
(1)	(2)	(3)	(4)	(5)	(6)	
Log(Ret)	-0.136** (0.056)	-0.065 (0.080)	-0.219* (0.120)	-1.566** (0.162)	-2.343*** (0.351)	-1.279*** (0.264)
After Crash	-0.008 (0.006)	-0.005 (0.009)	-0.015 (0.009)	-0.004 (0.005)	-0.017** (0.008)	-0.012* (0.007)
After Crash × Log(Ret)	-0.157 (0.163)	-0.146 (0.122)	-0.139 (0.135)	-0.094 (0.208)	0.486 (0.400)	-0.715* (0.381)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.151	0.151	0.156	0.009	0.007	0.011
Observations	3,586	1,866	1,720	168,087	86,415	81,672

In this table we examine whether investors change their trading behavior after the 2018 crypto crash. We focus on active investors, who traded any asset in the prior 7 days and

(a) Table 10: before vs. after the crypto crash

Table 12
Stock Trading around Earnings Announcements.

Panel A						
Log(total share change)						
EA Days			Non EA Days			
All	Ret > 0	Ret ≤ 0	All	Ret > 0	Ret ≤ 0	
(1)	(2)	(3)	(4)	(5)	(6)	
Log(Ret)	-1.303*** (0.215)	-2.457*** (0.391)	-1.441*** (0.396)	-0.051 (0.082)	-0.287* (0.164)	-0.106 (0.164)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.010	0.017	0.011	0.000	0.000	0.000
Observations	23,732	11,907	11,825	144,895	74,867	70,028

Panel B						
Log(active share change)						
EA Days			Non EA Days			
All	Ret > 0	Ret ≤ 0	All	Ret > 0	Ret ≤ 0	
(1)	(2)	(3)	(4)	(5)	(6)	
Log(Ret)	-2.279*** (0.215)	-3.445*** (0.391)	-2.429*** (0.395)	-0.942*** (0.081)	-1.239*** (0.163)	-0.998*** (0.159)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.030	0.032	0.032	0.004	0.004	0.003
Observations	23,732	11,907	11,825	144,895	74,867	70,028

In this table we examine whether investors change their trading behavior in stocks around earnings announcements. We focus on investors who have traded both cryptos and stocks during their tenure at eToro. We generate a representative investor, by cumulating trades, net inflows, and wealth, across those investors for each date t . *EA Days* are defined as 3 days before and 5 days after an earnings announcement. *Non EA Days* are all the other days. *Log(Total Share Change)* and *Log(Active Share Change)* are defined as in Table 3. Controls include lagged 1 week, 1 moth, 3 month, and 6 month log cumulative returns for total and active share change regressions, as well as log returns on wealth and net inflows, for active share change. The log cumulative past

(b) Table 12: earnings-announcement windows

Table 11
Lottery-like Returns.

Log(total share change)						
All	Ret > 0	Ret ≤ 0	All	Ret > 0	Ret ≤ 0	
(1)	(2)	(3)	(4)	(5)	(6)	
Max. Return Month (t-1)						
Log(Ret)	-0.696*** (0.133)	-1.576*** (0.227)	-1.001*** (0.268)	-1.591*** (0.134)	-2.542*** (0.227)	-1.898*** (0.270)
Stock Characteristics	0.030 (0.037)	-0.088 (0.057)	0.059 (0.066)	0.018 (0.040)	-0.172*** (0.062)	0.108 (0.069)
Stock Characteristics × Log(Ret)	2.139* (1.228)	7.453*** (2.191)	2.043 (2.311)	1.920 (1.232)	7.632*** (2.174)	1.626 (2.312)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.002	0.003	0.003	0.010	0.010	0.011
Observations	145,673	75,212	70,461	145,673	75,212	70,461
Return Volatility						
Log(Ret)	-0.359* (0.189)	-1.608*** (0.308)	-0.491 (0.401)	-1.309*** (0.192)	-2.538*** (0.308)	-1.348*** (0.406)
Stock Characteristics	-0.014 (0.119)	-0.382** (0.173)	-0.097 (0.223)	-0.060 (0.116)	-0.440** (0.173)	-0.159 (0.238)
Stock Characteristics × Log(Ret)	-5.961 (4.922)	18.266*** (6.881)	-11.405 (10.658)	-7.902 (4.969)	17.647*** (6.833)	-13.478 (10.730)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.002	0.003	0.003	0.010	0.009	0.011
Observations	145,439	75,100	70,339	145,439	75,100	70,339
Return Skewness						
Log(Ret)	-0.504*** (0.096)	-0.978*** (0.195)	-0.789*** (0.173)	-1.411*** (0.096)	-1.939*** (0.194)	-1.701*** (0.175)
Stock Characteristics	-0.000 (0.001)	-0.001 (0.001)	-0.002 (0.002)	-0.000 (0.001)	0.001 (0.002)	-0.003 (0.002)
Stock Characteristics × Log(Ret)	-0.120*** (0.045)	-0.119 (0.092)	-0.155* (0.087)	-0.133*** (0.045)	-0.127 (0.093)	-0.176** (0.087)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.002	0.003	0.003	0.010	0.009	0.011
Observations	145,673	75,212	70,461	145,673	75,212	70,461
Firm Age ≤ 1 year						
Log(Ret)	-0.546*** (0.097)	-1.010*** (0.192)	-0.872*** (0.181)	-1.456*** (0.097)	-1.973*** (0.192)	-1.791*** (0.183)
Stock Characteristics	0.012* (0.006)	-0.002 (0.013)	0.032** (0.013)	0.018* (0.010)	0.007 (0.016)	0.035* (0.020)
Stock Characteristics × Log(Ret)	-0.117 (0.306)	-0.191 (0.607)	0.388 (0.605)	-0.191 (0.307)	0.147 (0.610)	0.312 (0.607)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.001	0.002	0.003	0.009	0.009	0.011
Observations	145,673	75,212	70,461	145,673	75,212	70,461
Gross Profitability						
Log(Ret)	-0.476*** (0.113)	-0.842*** (0.230)	-0.759*** (0.220)	-1.382*** (0.114)	-1.792*** (0.232)	-1.680*** (0.221)
Stock Characteristics	-0.002 (0.003)	0.008 (0.008)	-0.009 (0.008)	-0.006 (0.004)	-0.006 (0.010)	-0.008 (0.008)
Stock Characteristics × Log(Ret)	-0.209 (0.189)	-0.529 (0.419)	-0.329 (0.378)	-0.222 (0.191)	-0.568 (0.425)	-0.326 (0.381)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
R2	0.001	0.003	0.003	0.009	0.009	0.011
Observations	143,187	73,964	69,223	143,187	73,964	69,223

In this table we examine whether there is heterogeneity in how investors trade stocks based on whether the stocks exhibit lottery-like returns. We focus on investors who have traded both cryptos and stocks during their tenure at eToro. We generate a representative investor, by cumulating trades, net inflows, and wealth, across those investors for each date t . *Log(Total Share Change)* and *Log(Active Share Change)* are defined as in Table 3. Controls include lagged 1 week, 1 moth, 3 month, and 6 month log cumulative returns for total and active share change regressions, as well as log returns on wealth and net inflows, for active share change, plus the interactions of these returns with stock characteristics. We focus on cumulative past returns on active share change and net inflows, for active share change. The log cumulative past

Table 11: lottery-like stock comparisons

6 Short summary

- The paper studies retail trading in cryptocurrencies, stocks, and gold using eToro account data.
- Retail investors are contrarian in stocks and gold but momentum-like in cryptocurrencies.
- Crypto total portfolio share rises after crypto returns; stock active share falls after stock returns.
- The result survives investor-type, demographic, active-user, individual-level, crash, lottery-like, and earnings-announcement checks.
- The authors conjecture that crypto investors treat price increases as signals of future adoption.

7 Conclusion

7.1 Core conclusion

Kogan, Makarov, Niessner, and Schoar show that cryptos are different in retail portfolios: retail investors who are contrarian in stocks and gold behave momentum-like in cryptocurrencies. The difference is not primarily explained by who trades crypto, by fees, by leverage, by inattention, by lottery-like stock preferences, or by stock-specific cash-flow news.

7.2 Economic intuition

In traditional assets, a price rise can make an asset look expensive, trigger rebalancing, or induce investors to realize gains. In cryptocurrencies, a price rise can also be interpreted as evidence that the network is gaining adoption, salience, liquidity, and future user demand. This makes crypto price appreciation potentially self-reinforcing in retail portfolios.

7.3 Expanded conclusion: what the paper changes conceptually

The paper is strongest because it compares behavior across assets within one retail trading environment. The conclusion is therefore not simply that crypto traders are different people; it is that crypto can elicit different trading rules from investors who otherwise look contrarian in traditional assets.

- The same platform and overlapping investor base make the stock-versus-crypto contrast unusually clean relative to studies comparing separate markets or brokerages.
- The result shifts the interpretation of retail crypto demand away from a pure “retail investors chase all winners” story: retail investors in the same data do not chase stock and gold winners in the same way.
- The active-share analysis is important for the conclusion: crypto weights rise mainly because investors do not rebalance away from appreciated crypto positions, whereas stock winners trigger active selling or rebalancing.
- The paper therefore identifies an asset-class-specific belief channel rather than a universal retail-investor style.

7.4 Mechanism: adoption beliefs rather than standard rebalancing

A useful way to read the conclusion is that crypto prices may enter beliefs differently from stock or gold prices. A crypto price increase can be interpreted as news that the network is gaining adoption, liquidity, legitimacy, and future user demand.

- For stocks, a price increase raises the portfolio weight and may make the investor sell to rebalance or realize gains; the underlying cash-flow asset remains tied to firms and earnings.
- For gold, the asset has no corporate cash flows, but the paper still finds contrarian behavior, which makes the crypto result more distinctive.
- For crypto, price itself may be part of the adoption narrative: higher prices can make the asset look more viable, more salient, and more likely to be adopted by others.
- This interpretation helps explain why a large negative event such as the 2018 crash does not fully turn crypto behavior into stock-like contrarian behavior.

7.5 How the robustness evidence supports the conclusion

The conclusion is not based only on the headline crypto-stock coefficient. It is built by ruling out several narrower explanations.

- Investor-type and demographic splits show that the crypto-stock contrast is not confined to one small demographic group.
- Existing-user tests reduce the concern that the result is mechanically caused by new investors entering after crypto booms.
- Active-user tests reduce the concern that crypto weights rise only because inattentive investors fail to log in and rebalance.
- Individual-account regressions show that the pattern is not only an aggregate portfolio-share artifact.
- Lottery-like stock and earnings-announcement tests show that crypto is not simply another high-skewness retail asset and that the stock result is not only about firm-news windows.

7.6 Final takeaway

The broader lesson is that retail trading rules are shaped by the economic narrative attached to the asset. Crypto is not merely a high-volatility substitute for stocks or gold; it is traded as an adoption-sensitive asset whose past price movements may affect beliefs about future demand.

- For asset pricing, the evidence suggests that endogenous adoption and belief feedback can matter for crypto demand.
- For household finance, the evidence warns against treating retail investors as having one stable rule across all asset classes.
- For market design and investor protection, the evidence highlights why momentum narratives may be especially powerful in assets whose value depends heavily on future participation.